

# Entrepreneurial finance for revival of business: A study of Indian firms

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In this globalising world, firms face severe competition and stiff challenges for survival due to obsolescence and intense business warfare, and financing plays a crucial role. Businesses are integral to the fabric of society, playing a vital role in driving economic growth, creating employment opportunities, and fostering innovation. The pressure on companies to address sustainability concerns is intensifying. Financing makes a unique contribution, both in general and during challenging times in a business's life. After identifying firms in the decline and decay stages, the study aims to examine their survival strategies and the chances of survival, depending on their previous stage, specifically whether they were in the decline or decay stage. The study is India-specific and uses the 'PROWESS on Web' database of CMIE. The 24-year panel data have been taken from the BSE 500 firms. There are 8677 observations for 401 non-financial business firms. Security or collateral consists of assets that are typically not subject to asymmetric valuations in markets, and that the borrower cannot alter easily. And it may be an essential aspect for reviving a declining business firm, as reflected in our study as well. There were 156 firm-years in the decline stage and 176 firm-years in the decay stage. However, in the year following the decline year, there were 32 firm-years in the startup stage, while only 14 firm-years made it to the startup list from decay firms. Overall, there were 69 firms in the startup, growth or maturity stages the year following the decay stage, while there were 98 such firms from the decline stage.

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